26PSCV00795 26PSCV00795

County: los-angeles

Division: Civil Law and Motion

Department: G

Hearing date: 2026-06-30

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=EA%20%2CG%2C06%2F30%2F2026

Source SHA-256: cb9d7eb05fa5573616bfc59e78afb8ab2abb847876fbba74f0021a77414aa904

Case Number: 26PSCV00795 Hearing Date: June 30, 2026 Dept: G

Defendant
Hyundai Motor America’s Motion to Compel Binding Arbitration

Respondent:
Plaintiff Hagop Baghasarian

TENTATIVE
RULING

Defendant
Hyundai Motor America’s Motion to Compel Binding Arbitration is DENIED.

BACKGROUND

This
is a Song-Beverly action arising out of the lease of an allegedly defective
motor vehicle. On August 18, 2023,
plaintiff Hagop Baghasarian (Baghasarain) allegedly bought an SUV manufactured
by defendant Hyundai Motor America (HMA).

On
March 5, 2026, Baghasarian filed the Complaint, alleging causes of action for
(1) breach of express warranty and (2) breach of implied warranty.

On
April 9, 2026, HMA filed this motion to compel arbitration. On June 16, 2026, Baghasarian filed the
opposition, and on June 23, 2026, HMA filed the reply.

The motion is set for hearing on June 30, 2026.

REQUEST FOR JUDICIAL NOTICE

HMA requests that the court take judicial notice of the Complaint. The court may take judicial notice of the records of any California court, including its own. (See Evid. Code, § 452, subd. (d)(1).)

Therefore, the court takes judicial notice of the Complaint.

ANALYSIS

HMA moves to compel arbitration pursuant to (1) the arbitration clause in the HMA Owner's Handbook and Warranty Information (the owner's handbook), or alternatively, (2) HMA's connected services agreement. For the following reasons, the court DENIES the motion.

Legal Standard

"A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract." (Code Civ. Proc., § 1281.) The court must grant a motion or petition to compel arbitration unless it finds no written agreement to arbitrate exists, the right to compel arbitration has been waived, grounds exist for revocation of the agreement, or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2.)

In a motion or petition to compel arbitration under both California and federal law, "the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy." (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165, internal quotation marks omitted.) Once the court finds an arbitration agreement exists and that the dispute is covered by the agreement, the party opposing arbitration bears the burden of establishing a defense to enforcement by preponderance of the evidence. (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413.) In interpreting an arbitration agreement, courts apply the same principles used to interpret contractual provisions with the fundamental goal of giving effect to the parties' mutual intentions and applying contractual language if clear and explicit. (Valencia v. Smyth (2010) 185 Cal.App.4th 153, 177.) Because public policy strongly favors arbitration, "any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration." (Coast Plaza Doctors Hospital v. Blue Cross of Cal. (2000) 83 Cal.App.4th 677, 686.)

Discussion

Moving Party's Burden

The moving party's burden is twofold: first, provide prima facie evidence that an arbitration agreement exists between the parties, and second, that agreement applies to the dispute. (See Rosenthal, supra, 14 Cal.4th at 413.) Since HMA alleges Baghasarian entered into two arbitration agreements, the court examines whether HMA met its burden for each agreement.

The Owner's Handbook

HMA did not meet its burden of demonstrating that the parties agreed to arbitrate their dispute in the owner's handbook. HMA provides a "true and correct copy of the Owner's Handbook." (Ameripour Decl., ¶ 3; see Ameripour Decl., Exh. 3.) The owner's handbook states:

If you purchased or leased your Hyundai vehicle in the State of California, you and we, [HMA], each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty. . . . (Ameripour Decl., Exh. 3, section 4, p. 12.)

The handbook was produced by HMA and evidences its assent to arbitration. (Ameripour Decl., Exh. 3.) However, there is no evidence that Baghasarian agreed to the arbitration provision in the owner's handbook. Neither his name nor his signature appear in the handbook, and there is no evidence that Baghasarian agreed to the handbook's contents. (See Ameripour Decl., Exh. 3, p. 1, leaving blank all the spaces for the vehicle owner's information.) Thus, based on HMA's lack of evidence on this issue, HMA fails to meet its burden to demonstrate that Baghasarian agreed to arbitrate a dispute in the owner's handbook.

Connected Services Agreement

There is evidence that HMA and Baghasarian agreed to arbitrate their dispute in the connected services agreement. HMA provides evidence of Baghasarian's enrollment in an optional connected services system, which contains an arbitration provision. (Rao Decl., Exh. 2, Part 14.C., pp. 23–26.) As with the owner's handbook above, HMA produced the agreement, which evidences its assent to arbitration. (Rao Decl., Exh. 2; see also Ameripour Decl., Exh. 3.) However, in contrast with the owner's handbook, HMA produces evidence that Baghasarian consented to arbitrate disputes by enrolling in the connected services system. (Rao Decl., ¶¶ 1–6; Rao Decl., Exhs. 1–2.) Thus, an arbitration agreement exists.

The court also finds the arbitration agreement applies to this dispute. The connected services agreement states:

[HMA] and you agree to arbitrate any and all disputes and claims between us arising out of or relating to . . . your Vehicle, use of the sites, or products, services, or programs you purchase. . . . The agreement to arbitrate otherwise includes, but is not limited to: claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory. . . . (Rao Decl., Exh. B, Part 15.C(a).)

Baghasarian's claims against HMA arise from and relate to the SUV purchased and are based in the legal theories of warranty and statute. (Compl., ¶¶ 37–58, 60–74.) Thus, the court finds the dispute is covered by the arbitration agreement.

Therefore, HMA establishes by a preponderance of the evidence that Baghasarian agreed to arbitrate this case. The burden now shifts to Baghasarian to establish that the arbitration agreement should not be enforced.

Opposing Party's Burden

Once the moving party establishes that an arbitration agreement exists and covers the controversy, the burden shifts to the opposing party to establish a defense against the enforceability of the agreement. (See Rosenthal, supra, 14 Cal.4th at 413.) Baghasarian argues the arbitration agreement is unenforceable because (1) a sales representative completed the connected services agreement on his behalf, and (2) the arbitration agreement is unconscionable.

Baghasarian did not complete the connected services agreement. "It is essential to the existence of a contract that there should be: 1. Parties capable of contracting; 2. Their consent; 3. A lawful object; and[] 4. A sufficient cause or consideration." (Civ. Code, § 1550, reformatted.) The general rule is that one must be a party to an arbitration agreement either to be bound by or to invoke it. (See Soltero v. Precise Distribution, Inc. (2024) 102 Cal.App.5th 887, 892–893.) "There is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate." (Victoria v. Super. Ct. (1985) 40 Cal.3d 734, 744, cleaned up.) "Given that arbitration agreements are simply contracts, the first principle that underscores all of our arbitration decisions" is that "arbitration is strictly a matter of consent. Arbitration is a way to resolve those disputes—but only those disputes—that the parties have agreed to submit to arbitration." (Coinbase, Inc. v. Suski (2024) 602 U.S. 143, 148.)

Baghasarian argues that there is no contract because he did not consent to the connected services agreement; the sales representative completed it for him. (See Opp., p. 4.) According to Baghasarian, "The sales representative for Hyundai of El Monte set up Bluelink services for me and enrolled my vehicle in Bluelink when I leased the vehicle. I did not do anything to enroll in Bluelink it was all done for me by the sales representative." (Baghasarian Decl., ¶ 4.) HMA does not produce contrary evidence that Baghasarian completed the agreement himself; its evidence only shows a "general layout" that a person would see when they completed the agreement. (Rao Decl., ¶ 6.) Since Baghasarian did not complete the connected services agreement, and there is no evidence to the contrary, the court cannot enforce the arbitration provision against him. (See Soltero, supra, 102 Cal.App.5th at 892–893; see also Coinbase, Inc., supra, 602 U.S. at 148.)

Therefore, Baghasarian meets his burden to demonstrate that the court should not enforce the arbitration agreement.

Accordingly, the court DENIES the motion to compel arbitration. Since the court finds that Baghasarian did not enter into an arbitration agreement with HMA, it does not address the parties' arguments as to unconscionability.

CONCLUSION

For these reasons, the motion to compel arbitration is DENIED.